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Title

# 2011 Full Year Roadshow

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**Paul Bulcke**  
Chief Executive Officer

Page-text

**Jim Singh**  
Chief Financial Officer

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**Wan Ling Martello**  
Chief Financial Officer  
Designate

# Disclaimer

This presentation contains forward looking statements which reflect Management's current views and estimates. The forward looking statements involve certain risks and uncertainties that could cause actual results to differ materially from those contained in the forward looking statements. Potential risks and uncertainties include such factors as general economic conditions, foreign exchange fluctuations, competitive product and pricing pressures and regulatory developments.

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# 2011 Full Year Roadshow

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**Jim Singh**  
Chief Financial Officer

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# Delivering progress sustainably in a New Reality

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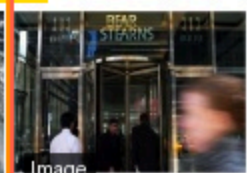


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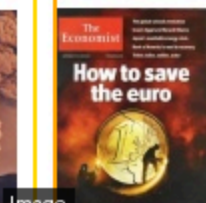
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# 2011: Strong Full Year Performance

Table

|                                                                     | As reported | At constant exchange rates |
|---------------------------------------------------------------------|-------------|----------------------------|
| Sales                                                               | 83.6 bn     |                            |
| Organic Growth                                                      | +7.5%       |                            |
| Real Internal Growth                                                | +3.9%       |                            |
| Trading Operating Profit                                            | 12.5 bn     |                            |
| Trading Operating Profit Margin<br>(vs. 2010 continuing operations) | 15.0%       | +60 bps                    |
| Net Profit<br>(vs. 2010 continuing operations)                      | 9.5 bn      | +8.1%                      |
| Net Profit Margin<br>(vs. 2010 continuing operations)               | 11.3%       | +130 bps                   |
| Underlying EPS<br>(Group)                                           | 3.08        | +7.8%                      |
| Dividend<br>(proposed)                                              | 1.95        | +5.4%                      |

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All figures in CHF

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February 21st, 2012

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2011 Full Year Results Roadshow

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# Delivering the Nestlé Model in 2011

Table

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**Former Nestlé Model**

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Organic growth 5-6%

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Increased EBIT margin  
in constant currencies

Obj-text

Improvement in capital efficiency

Obj-text

**FY 2011**

Obj-text

**+7.5%**

Obj-text

**+10 bps**

Obj-text

**Enhanced Nestlé Model**

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Organic growth 5-6%

Obj-text

Increased trading operating  
margin in constant currencies

Obj-text

Increased underlying EPS  
in constant FX

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Improvement in capital efficiency

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**FY 2011**

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**+7.5%**

Obj-text

**+90 bps**

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**+7.8%**

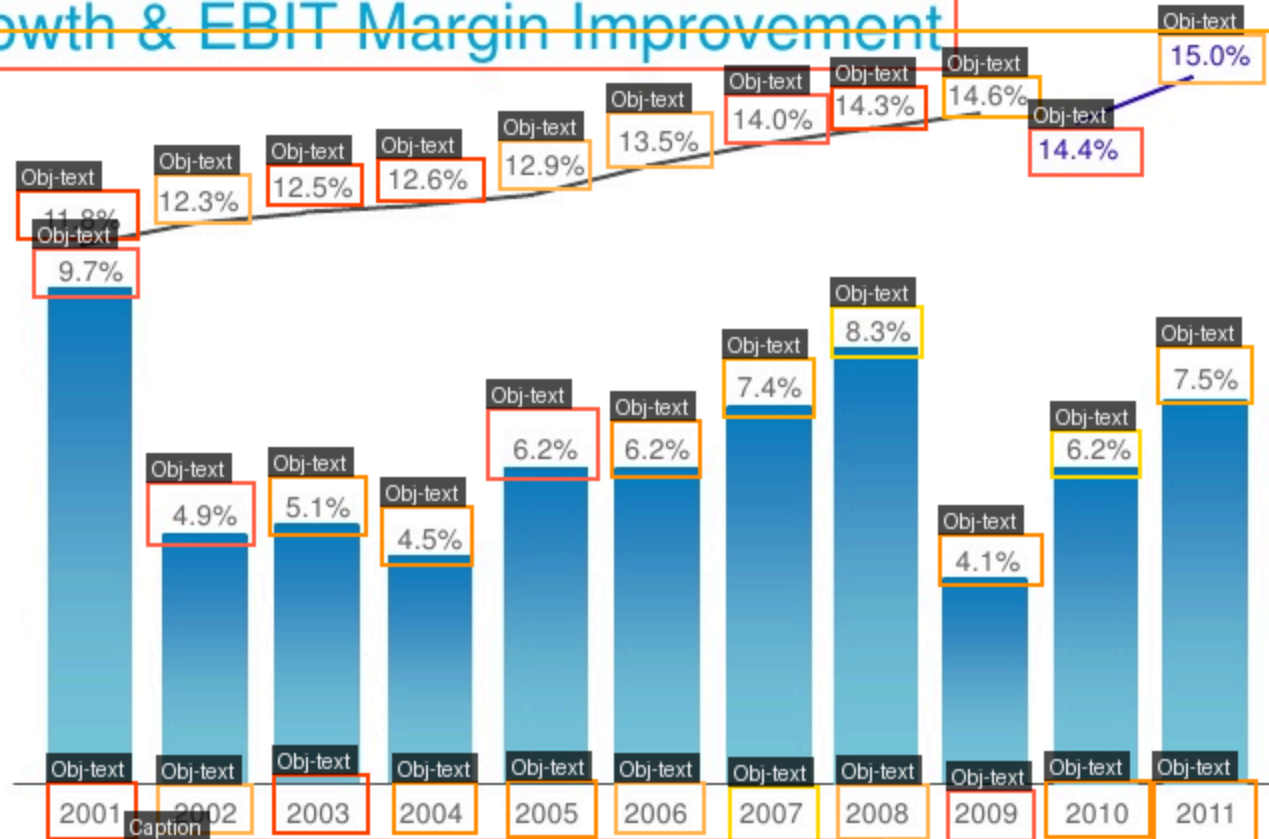
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# 10 years of the Nestlé Model

Figure

## Driving Organic Growth & EBIT Margin Improvement



10-year annual averages

Organic Growth 6.4%

Real Internal Growth 3.6%

Organic Growth

EBIT margin \*

TOP margin

Caption

\* Before net trading items

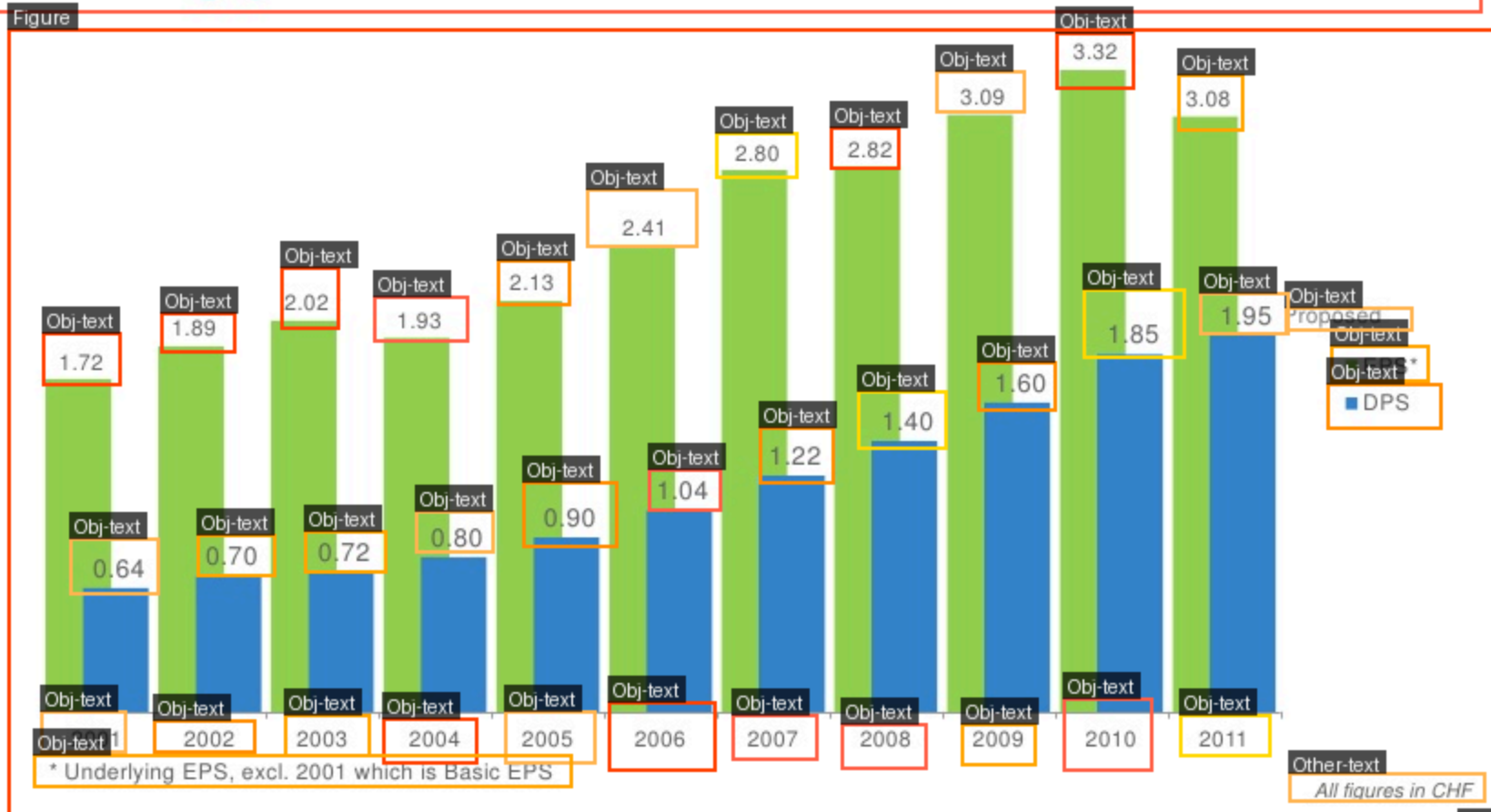
Data corresponds to published figures – not restated for accounting changes

Image



# Enhancing performance – EPS and DPS evolution

Figure



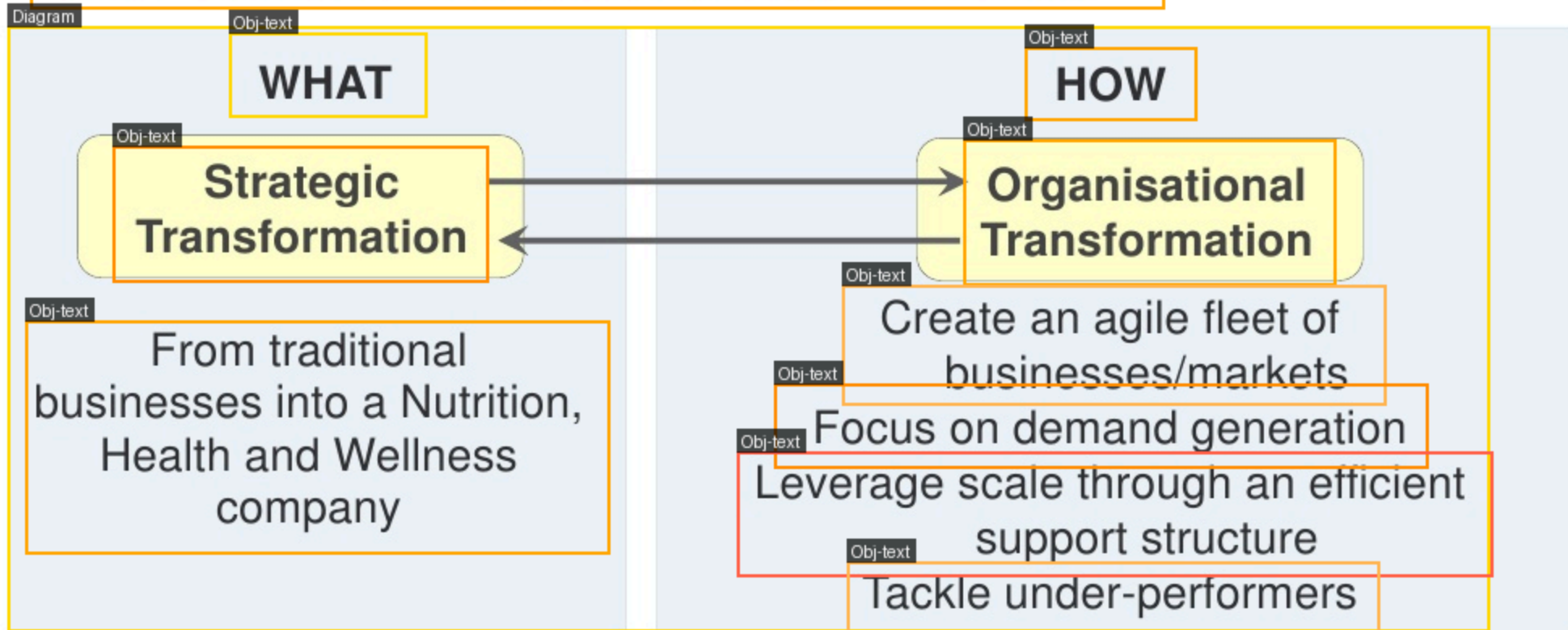
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## CHF, dividends reinvested





# The transformational opportunity



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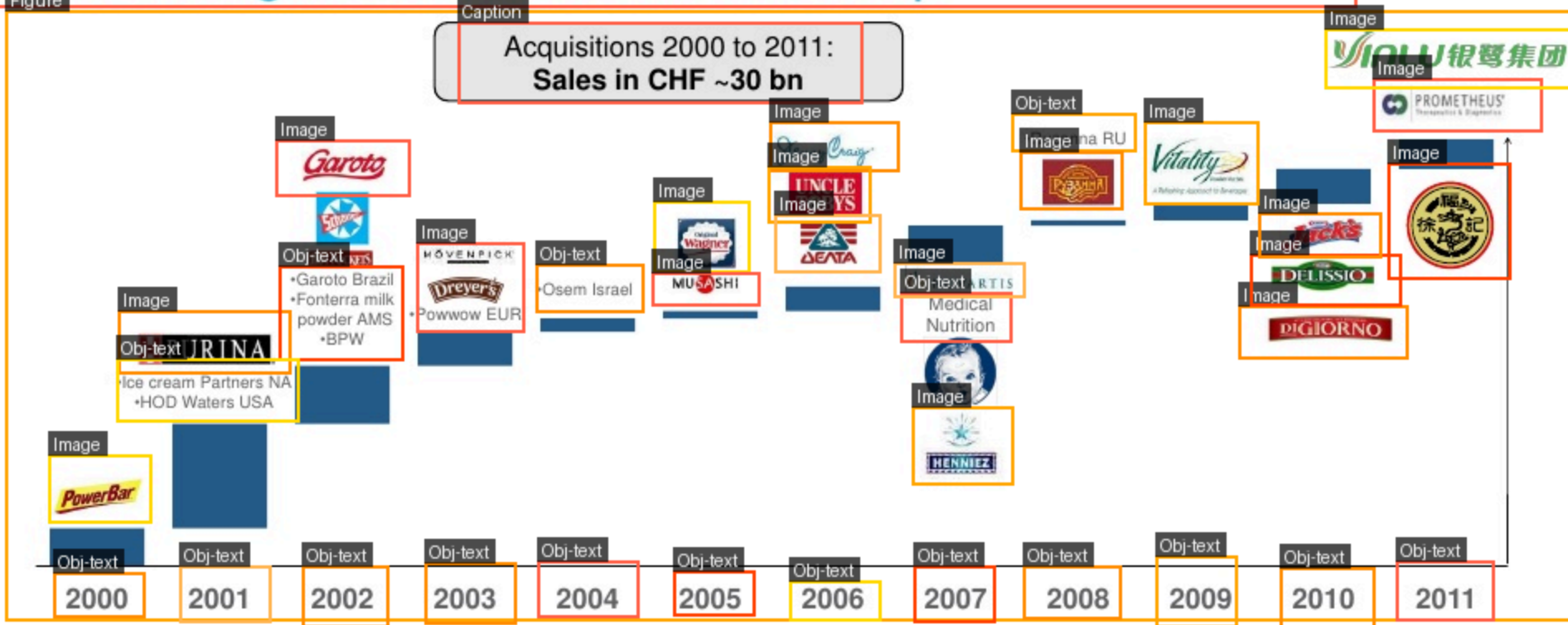
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# Significant acquisitions added new growth platforms and strengthened market leadership

Figure

Caption

Acquisitions 2000 to 2011:  
Sales in CHF ~30 bn

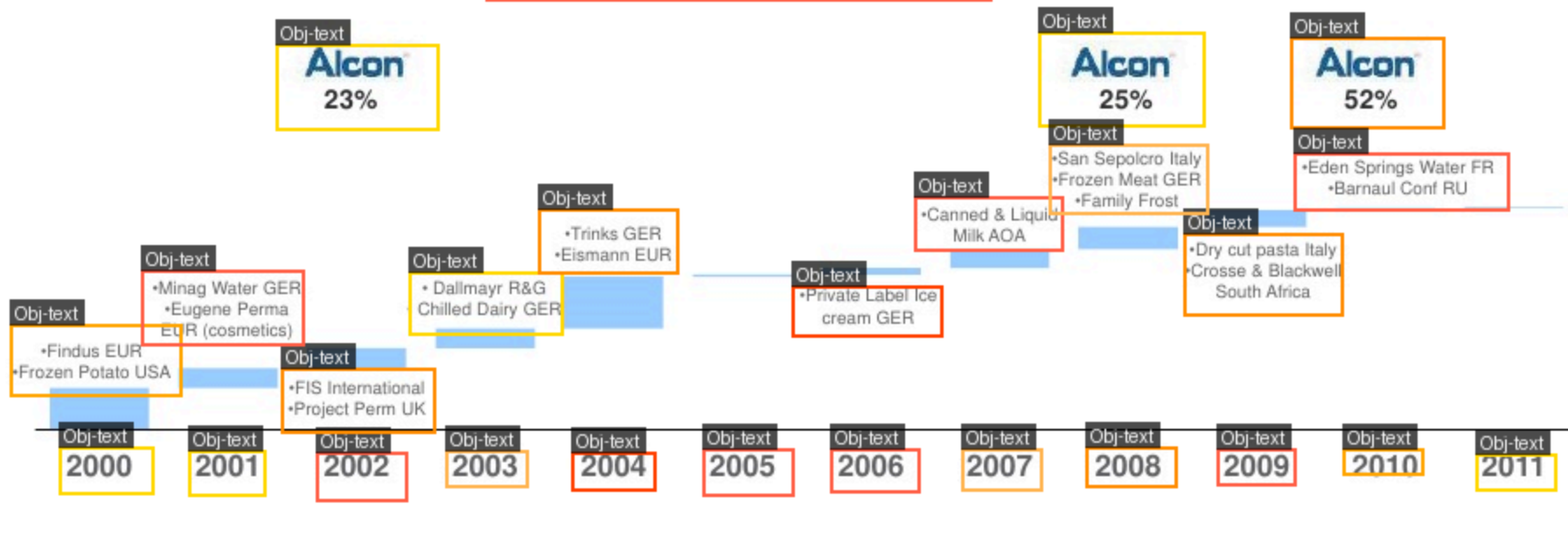


# Significant divestitures rationalized the portfolio and eliminated non strategic and loss-making businesses

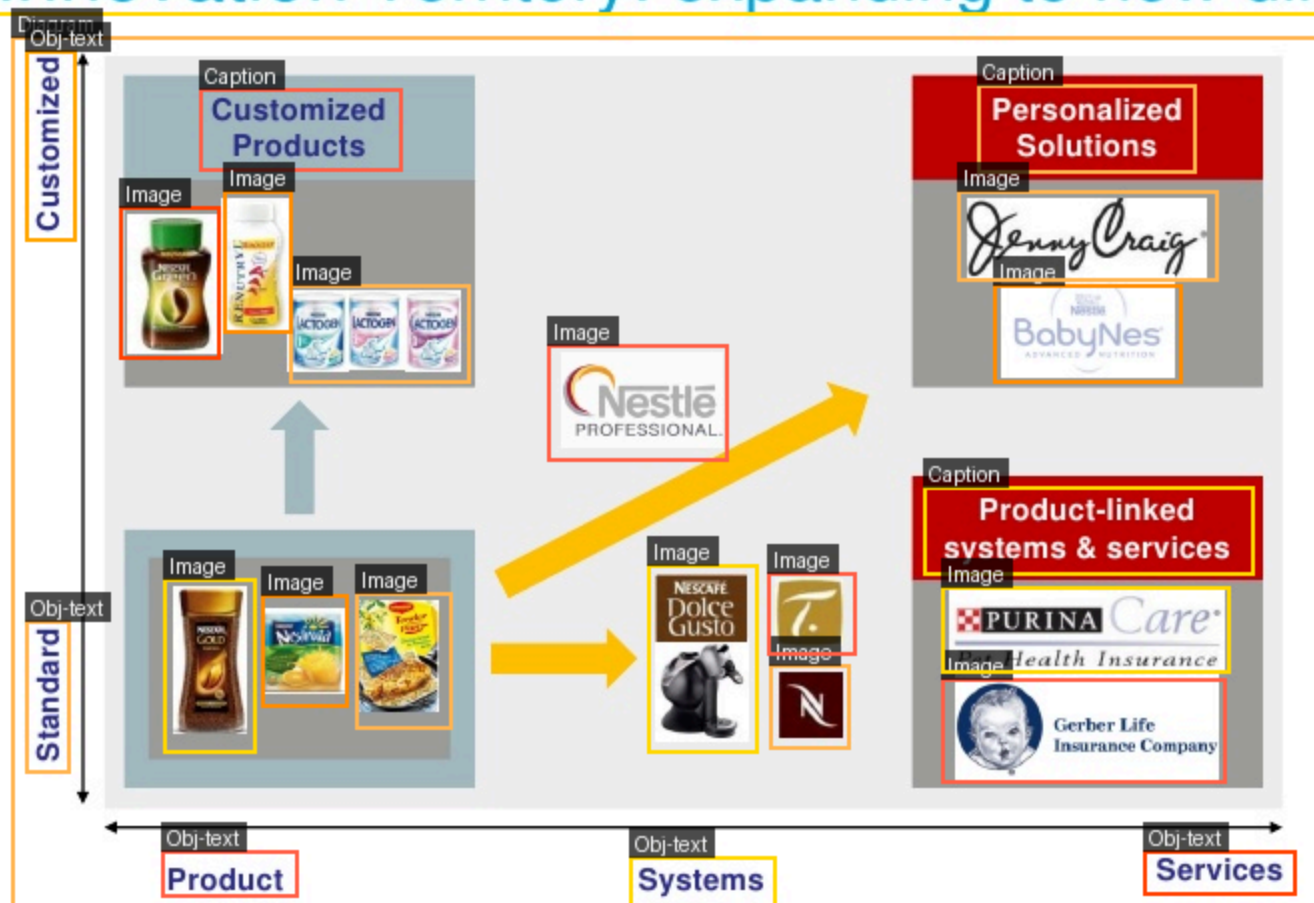
Figure

Caption

Divestitures 2000 to 2011:  
Sales in CHF ~ -17 bn



# Nestlé Innovation Territory: expanding to new dimensions



# Capital expenditure driven by emerging markets, powdered beverages, nutrition and investments in capacity and new products & technology

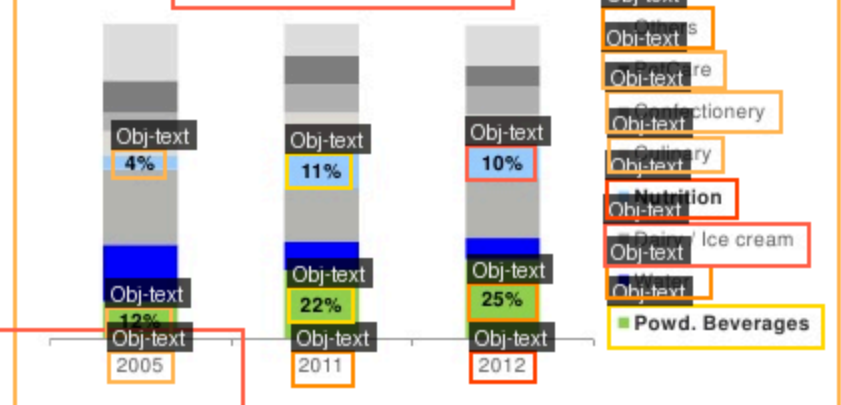
Figure

Caption  
Split by Region

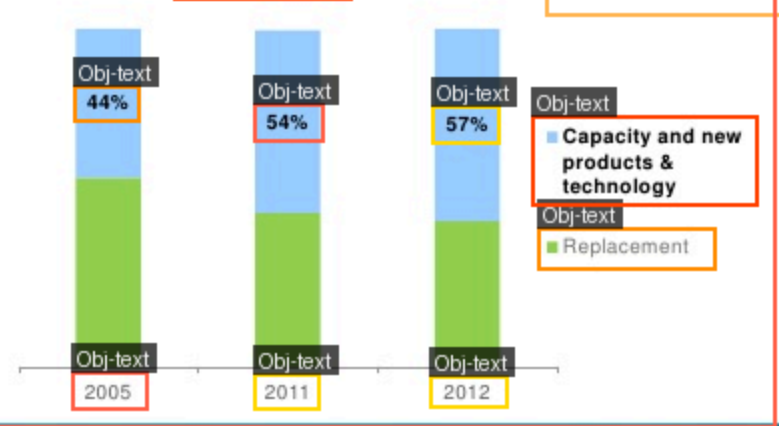


Figure

Caption  
Split by Product Category

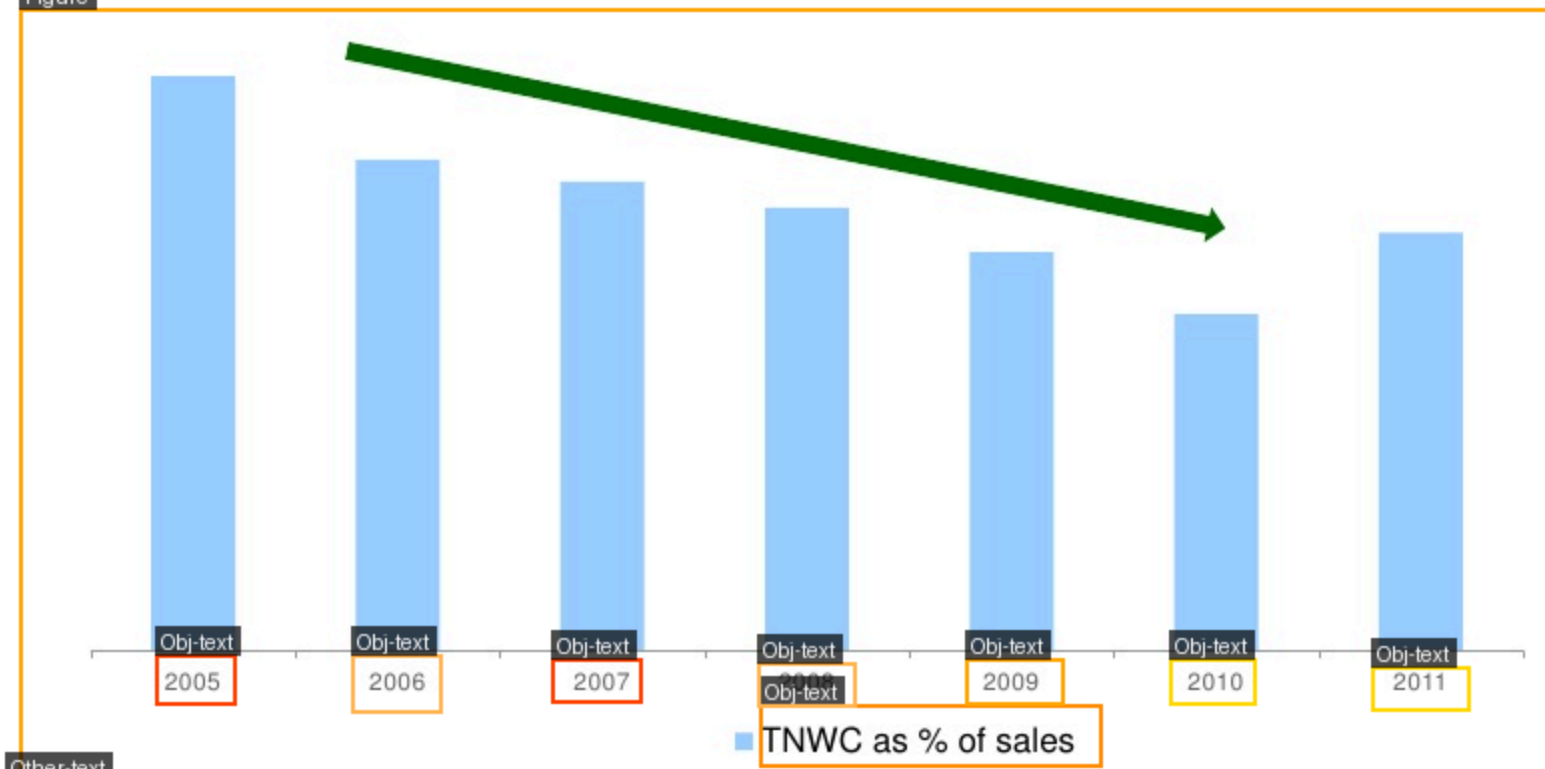


Caption  
Split by Type



# Trade Net Working Capital is an area of focus and improvement

Figure



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Notes:

Like for like estimate

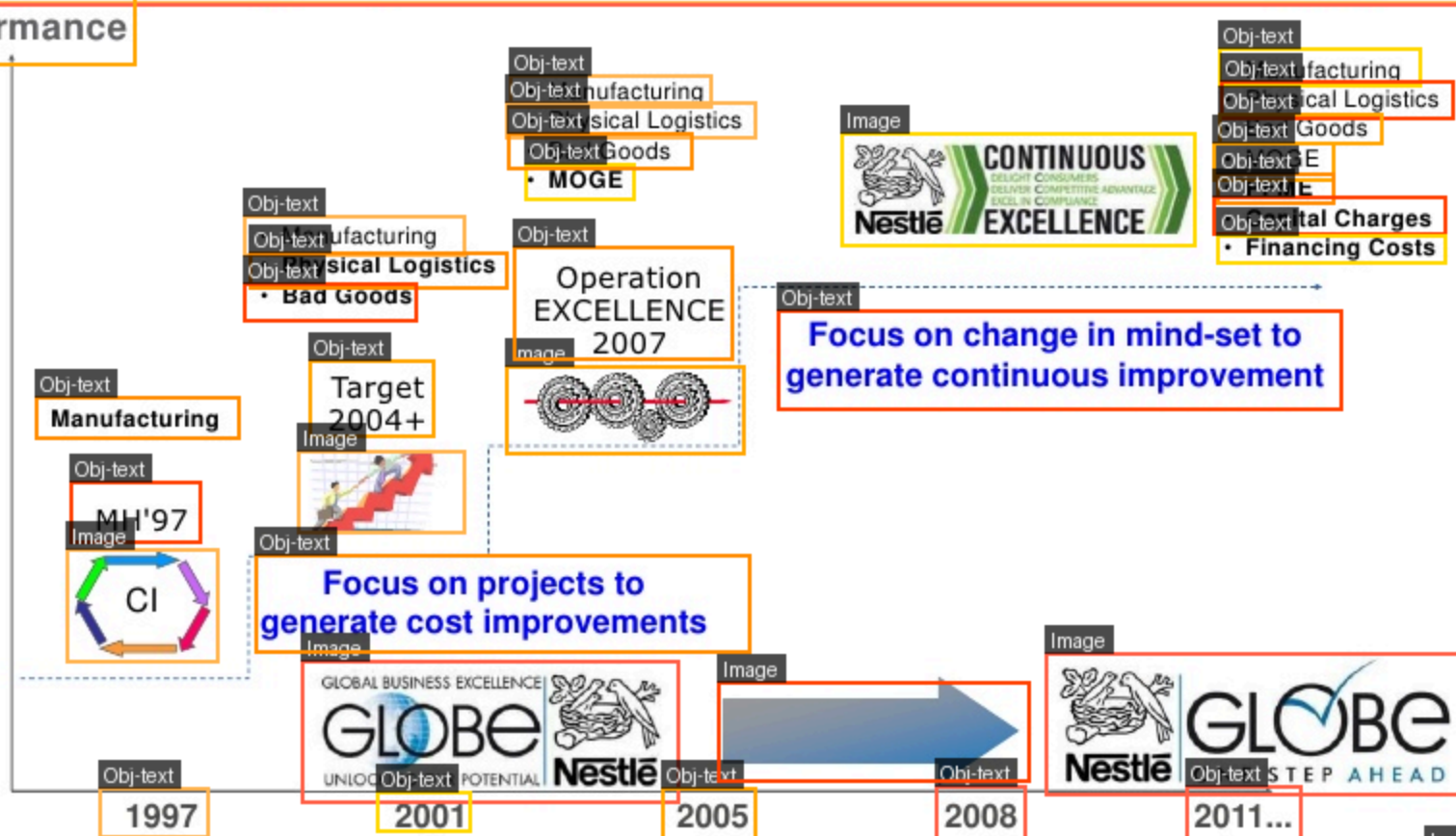
2010 and 2011 figures exclude Alcon, Hsu Fu Chi and Yinlu

# Nestlé's Operational Efficiency

Delivering the highest quality, lowest cost & best customer service leveraging GLOBE

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## Performance



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# The Nestlé Model

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- Organic growth 5-6%

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- Increased trading operating margin in constant currencies

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- Increased underlying EPS in constant currencies

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- Improvement in capital efficiency

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**Paul Bulcke**

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Chief Executive Officer

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# The New Reality

